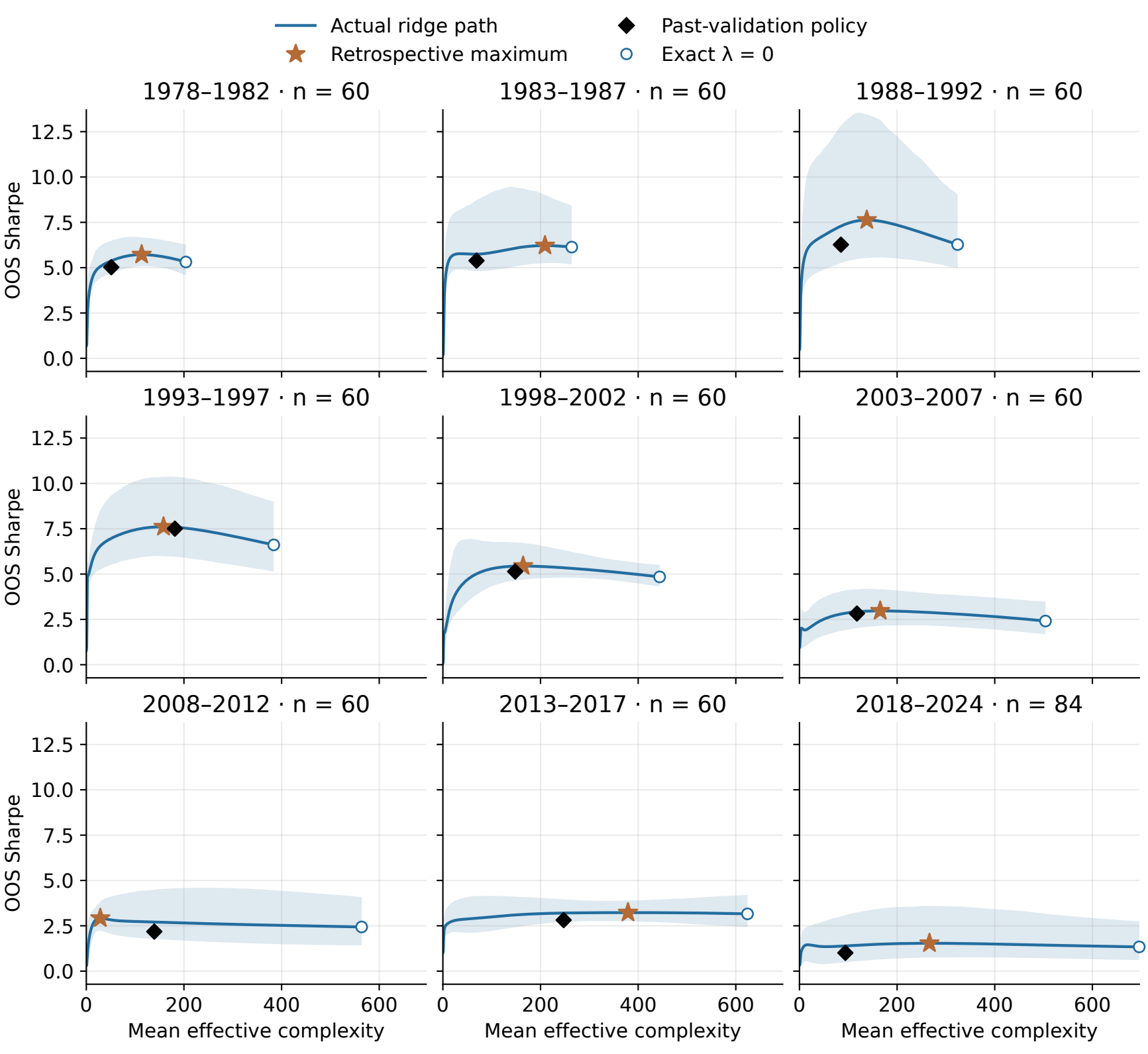

Actual ridge path
Past-validation policy
Retrospective maximum
Exact λ = 0
1978–1982 · n = 60
1983–1987 · n = 60
1988–1992 · n = 60
1993–1997 · n = 60
1998–2002 · n = 60
2003–2007 · n = 60
2008–2012 · n = 60
2013–2017 · n = 60
2018–2024 · n = 84
OOS Sharpe
0.0
2.5
5.0
7.5
10.0
12.5
0
200
400
600
Mean effective complexity